

Section : Business Studies

Q.1 Which of the following is not an element of entrepreneurship?

1. Innovation
2. Risk taking
3. Vision
4. Regular income

Options 1. 1

2. 2
3. 3
4. 4

Q.2 Arrange the following steps of a company's organizing process in the correct sequence:

- (A) Identification and division of work
- (B) Departmentalisation
- (C) Assignment of tasks
- (D) Establishing reporting relationships

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (C), (B), (D)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.3 "It is necessary to identify the needs of the customers and subsequently take various decisions for the successful marketing of products and services."

This statement is related to which function of Marketing?

1. Marketing Planning
2. Gathering and analyzing market information
3. Product designing and development
4. Customer support services

Options 1. 1

2. 2
3. 3
4. 4

Q.4 Match List-I with List-II

List-I (Importance of Organising)

List-II (Description)

(A) Benefits of specialisation

(I) Stimulating creativity amongst the managers

(B) Clarity in working relationships

(II) Systematic allocation of jobs amongst the workforce

(C) Development of personnel

(III) Removing ambiguity in the transfer of information and instructions

(D) Expansion and growth

(IV) Helping in the diversification of an enterprise

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (II), (B) - (III), (C) - (I), (D) - (IV)
3. (A) - (I), (B) - (III), (C) - (IV), (D) - (II)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2
3. 3

Q.5 Arrange the following steps of a company's planning process in the correct sequence.

- (A) Develop premises
- (B) Set objectives
- (C) Select an alternative
- (D) Implement the plan

Choose the correct answer from the options given below:

- 1. (A), (B), (C), (D)
- 2. (A), (C), (B), (D)
- 3. (B), (A), (C), (D)
- 4. (B), (A), (D), (C)

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.6 Arrange the following steps of a company's planning process in the correct sequence.

- (A) Develop premises
- (B) Set objectives
- (C) Select an alternative
- (D) Implement the plan

Choose the correct answer from the options given below:

- 1. (A), (B), (C), (D)
- 2. (A), (C), (B), (D)
- 3. (B), (A), (C), (D)
- 4. (B), (A), (D), (C)

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.7 Which of the following relates to the recruitment process?

- 1. Training
- 2. Appraisal
- 3. Job Advertisement
- 4. Development

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.8 _____ comprises of separate business units or divisions wherein each unit has a manager responsible for performance and who has authority over the unit.

- 1. Matrix organisation
- 2. Staff organisation
- 3. Functional organization
- 4. Divisional structure

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.9 Which of the following statements is true?

- 1. Delegation is optional, whereas Decentralization is essential to get things done by others.
- 2. In delegation, management exercises minimal control and in decentralization, control rests on supervisor.
- 3. Delegation is individual and Decentralisation is totalistic in nature.
- 4. Delegation is a step towards the formation of semi-autonomous units whereas Decentralisation creates superior-subordinate relationships.

Options 1. 1

2. 2

3. 3

4. 4

Q.10 Which of the following are the elements of directing?

(A) Communication

(B) Motivation

(C) Supervision

(D) Compensation

Choose the correct answer from the options given below:

1. (A), (B) and (D) only

2. (A), (B) and (C) only

3. (A), (B), (C) and (D)

4. (B), (C) and (D) only

Options 1. 1

2. 2

3. 3

4. 4

Q.11 "It is very difficult to predict future happenings, especially when environmental changes are taking place too frequently."

Which feature of business environment is reflected in the above statement?

1. Uncertainty

2. Dynamic nature

3. Complexity

4. Relativity

Options 1. 1

2. 2

3. 3

4. 4

Q.12 Which of the following statements does NOT represent the importance of business environment?

1. It helps in tapping useful resources

2. It helps in delegating authority in organisational structure

3. It helps in assisting in planning and policy formulation

4. It helps in improving performance

Options 1. 1

2. 2

3. 3

4. 4

Q.13 Which of the following cannot be termed as owners' funds?

1. Debenture

2. Equity

3. Retained earning

4. Reserves and surplus

Options 1. 1

2. 2

3. 3

4. 4

Q.14 Which of the following principles are taken from the 14 principles suggested by Henry Fayol?

(A) Discipline

(B) Scalar Chain

(C) Stability of the business organisation

(D) Equity

Choose the correct answer from the options given below:

1. (A), (B) and (D) only

2. (A), (B) and (C) only
3. (B), (C) and (D) only
4. (A), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.15 Match List-I with List-II

List-I (Dimensions of Business Environment)

(A) Economic Environment

(B) Political Environment

(C) Technological Environment

(D) Social Environment

List-II (Examples)

(I) Forces like customs, traditions and values

(II) Use of Artificial Intelligence in business

(III) Policy of RBI to curb inflation

(IV) Promotion of Make in India by government

Choose the correct answer from the options given below:

1. (A) – (IV), (B) – (II), (C) – (III), (D) – (I)
2. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)
3. (A) – (I), (B) – (II), (C) – (IV), (D) – (III)
4. (A) – (III), (B) – (IV), (C) – (II), (D) – (I)

Options 1. 1

2. 2
3. 3
4. 4

Q.16 What is the full form of EBIT?

1. Earning Before Income Tax
2. Earning Before Interest and Tax
3. Expense Before Income and Tax
4. Expenses Before Interest and Tax

Options 1. 1

2. 2
3. 3
4. 4

Q.17 The Debt Service Coverage Ratio (DSCR) of Company A is higher than that of Company B. What does this indicate?

1. Company A is in better position to meet cash commitments
2. Company B is in better position to meet cash commitments
3. Company A's potential to increase debt component in its capital structure is lower
4. Company B's potential to increase debt component in its capital structure is higher

Options 1. 1

2. 2
3. 3
4. 4

Q.18 Arrange the following Redressal Agencies in the hierarchical structure (bottom to top) as per the Consumer Protection Act, 2019:

- (A) District Commission
- (B) National Commission
- (C) Supreme Court
- (D) State Commission

Choose the correct answer from the options given below:

1. (D), (B), (C), (A)
2. (A), (C), (B), (D)
3. (A), (D), (B), (C)

4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.19 The concept of Staffing is about:

1. Relationships between people, work and resources
2. External customers
3. Suppliers
4. Employees

Options 1. 1

2. 2
3. 3
4. 4

Q.20 Which of the following are important features of the 'Budget'?

- (A) The budget is a single-use plan containing expected results in theoretical terms only.
(B) Budgets may be expressed in terms of time, materials or other suitable units capable of numerical expression.
(C) The budget is a plan which quantifies future facts and figures.
(D) The budget projects the expected revenues and expenses for a given period.

Choose the correct answer from the options given below:

1. (B), (C) and (D) only
2. (A), (B) and (C) only
3. (A), (B) and (D) only
4. (A), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.21 Which of the following are the importance of delegation?

- (A) Effective management
(B) Better coordination
(C) Motivation of employees
(D) Integrate employee-efforts

Choose the correct answer from the options given below:

1. (A) and (D) only
2. (A), (B) and (C) only
3. (A), (B) and (D) only
4. (B) and (C) only

Options 1. 1

2. 2
3. 3
4. 4

Q.22 Arrange the following stages of the staffing process in logical sequence.

- (A) Placement and orientation
(B) Estimating manpower requirements
(C) Recruitment
(D) Selection

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (B), (C), (D), (A)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.23 Who is known as the father of general management?

1. Henry Fayol
2. Maslow
3. Herzberg
4. F. W. Taylor

Options 1. 1

2. 2
3. 3
4. 4

Q.24 Which of the following techniques is not used for environmental scanning?

1. SWOT Analysis
2. Budgetary Analysis
3. PESTAL Analysis
4. Industry Analysis

Options 1. 1

2. 2
3. 3
4. 4

Q.25 _____ is the force that binds all the other functions of management together.

1. Direction
2. Coordination
3. Communication
4. Leading

Options 1. 1

2. 2
3. 3
4. 4

Q.26 Which of the following is a consumer product?

1. Tyres purchased by a tyre manufacturing company
2. Wheat flour purchased by a pizza-making company
3. Pen purchased by a shopkeeper for his personal daily use
4. Mustard oil purchased by a restaurant

Options 1. 1

2. 2
3. 3
4. 4

Q.27 The management principles given by F. W. Taylor are scientific in nature whereas management principles given by Henry Fayol are _____ in nature.

1. Artistic
2. Non-Classical
3. Empirical
4. Administrative

Options 1. 1

2. 2
3. 3
4. 4

Q.28 Match List-I with List-II

List-I (Decisions)

List-II (Factors affecting the Decisions)

(A) Fixed Capital Decision

(I) Diversification

(B) Capital Structure Decision

(II) Cash flows of the project

(C) Working Capital Decision

(III) Control on Business

(D) Capital Budgeting Decision

(IV) Business Cycle

Options:

1. (A) – (II), (B) – (I), (C) – (III), (D) – (IV)

2. (A) – (I), (B) – (III), (C) – (IV), (D) – (II)
3. (A) – (I), (B) – (II), (C) – (IV), (D) – (III)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.29 Match List-I with List-II

List-I (Promotion Mix)

List-II (Explanation)

- | | |
|----------------------|---|
| (A) Advertising | (I) Minimises wastage of efforts |
| (B) Sales Promotion | (II) Manages public opinion of an organisation |
| (C) Public Relations | (III) Encourages the buyers to make an immediate purchase |
| (D) Personal Selling | (IV) Enhances customer satisfaction an |

Options:

1. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)
2. (A) – (I), (B) – (III), (C) – (II), (D) – (IV)
3. (A) – (IV), (B) – (III), (C) – (II), (D) – (I)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.30 Which of the following terms represents the number of subordinates that a superior can effectively manage?

1. Span of Management
2. Unity of Direction
3. Management Control System
4. Unity of Command

Options 1. 1

2. 2
3. 3
4. 4

Q.31 “Management is the process of working with and through others to effectively achieve organisational objectives by efficiently using limited resources in the changing environment.” Who gave this definition of management?

1. Hicks
2. Henry Fayol
3. Kreitner
4. Koontz

Options 1. 1

2. 2
3. 3
4. 4

Q.32 Which of the following is a generic function of management?

1. Controlling
2. Staffing
3. Organising
4. Directing

Options 1. 1

2. 2
3. 3
4. 4

Q.33 Since the future cannot be predicted with absolute accuracy, _____ premises may not be fully reliable.

1. Delegating
2. Planning
3. Coordination
4. Controlling

Options 1. 1

2. 2
3. 3
4. 4

Q.34 Which of the following is related to the importance of management?

- (A) Helps in achieving group goals
- (B) Makes available of extra funds at the right time
- (C) Increases efficiency
- (D) Creates dynamic organization

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (B) and (C) only
3. (A), (B), (C) and (D)
4. (A), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.35 For designing a tractor, the assembly line production would entail deciding the sequence of various operations, place for men, machines, and raw materials etc. All these are part of:

1. Motion study
2. Work measurement
3. Method study
4. Time study

Options 1. 1

2. 2
3. 3
4. 4

Q.36 Which of the following is the feature of planning?

1. Planning focuses on achieving objectives
2. Planning ensures success
3. Planning identifies the deviations and makes corrections
4. Planning groups important activities into workable units

Options 1. 1

2. 2
3. 3
4. 4

Q.37 Arrange the following steps of a company's selection process in the correct sequence:

- (A) Reference and background checks
- (B) Selection tests
- (C) Preliminary screening
- (D) Employment interviews

Options:

1. (C), (B), (D), (A)
2. (A), (C), (B), (D)
3. (B), (C), (D), (A)
4. (C), (A), (D), (B)

Options 1. 1

2. 2
3. 3

Q.38 Match List-I with List-II**List-I (Consumer Rights)****List-II (Explanation)****(A) Right to be informed****(I) The right to be a well-informed consumer throughout life.****(B) Right to be heard****(II) The right to have freedom to access a variety of products at competitive prices.****(C) Right to Consumer Education****(III) A right to have complete information about the product the consumer intends to buy.****(D) Right to choose / be assured****(IV) A right to file a complaint in case of dissatisfaction with a goods or a service.****Options:**

1. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)
2. (A) – (I), (B) – (III), (C) – (II), (D) – (IV)
3. (A) – (I), (B) – (III), (C) – (IV), (D) – (II)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.39 The process of giving a name or a sign or a symbol etc., to a product is called:

1. Branding
2. Labelling
3. Grading
4. Marking

Options 1. 1

2. 2
3. 3
4. 4

Q.40 A _____ is a general statement that guides thinking or channelizes energies towards a particular direction.

1. Rule
2. Process
3. Policy
4. Programme

Options 1. 1

2. 2
3. 3
4. 4

Q.41 Read the passage and answer the following questions:

ABC Manufacturing Ltd. faced a drop in productivity after introducing new technology. The workers found the technology challenging to use, leading to dissatisfaction and resistance. The management recognized that the issue stemmed from inadequate supervision, lack of motivation, and unclear leadership.

To address this, the supervisor, Mr. Rajesh, played a pivotal role in turning things around. He scheduled regular training sessions to improve workers' understanding of the new system. By being present on the floor, he provided hands-on guidance and support, ensuring everyone felt comfortable with the changes.

To motivate employees, Rajesh introduced an incentive scheme rewarding the most productive teams. He also implemented a peer-recognition program, encouraging workers to appreciate each other's efforts. Rajesh used constructive feedback to foster a positive work environment.

Leadership played a critical role as Rajesh led by example. He demonstrated enthusiasm for the new technology, showing employees its benefits. He maintained open communication, addressing concerns and fostering trust. His ability to inspire and guide the team transformed the workplace dynamics.

Within two months, the productivity increased significantly. The team adapted to the new technology, motivated by clear supervision, targeted incentives, and empathetic leadership.

What was the result of Rajesh's efforts?

1. Increased Costs
2. Improved Productivity
3. Reduced Workforce
4. Decline in Morale

Options 1. 1

2. 2
3. 3
4. 4

Q.42 Read the passage and answer the following questions:

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How did Rajesh improve employee motivation?

1. By introducing an incentive scheme
2. By increasing salary
3. By hiring more staff to reduce the workload
4. By reducing work hours

Options 1. 1

2. 2
3. 3
4. 4

Q.43 Read the passage and answer the following questions:

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Which leadership style was highlighted in Rajesh's actions?

1. Authoritative control
2. Passive control
3. Laissez-faire
4. Democratic

Options 1. 1

2. 2
3. 3
4. 4

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Within two months, the productivity increased significantly. The team adapted to the new technology, motivated by clear supervision, targeted incentives, and empathetic leadership.

What was the primary issue at ABC Manufacturing Ltd.?

1. Lack of resources
2. Resistance to change
3. Low salaries
4. Poor location

Options 1. 1

2. 2
3. 3
4. 4

Q.45 Read the passage and answer the following questions:

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What was a key element of Rajesh's communication?

1. Issuing orders
2. Avoiding conflict
3. Open communication
4. Formal reporting

Options 1. 1

2. 2

3. 3

4. 4

Q.46 Read the passage and answer the following questions:

XYZ Logistics faced challenges in meeting delivery deadlines, leading to customer complaints. The management decided to implement a structured control process to ensure timely deliveries.

The company set a standard of delivering 95% of orders within the promised timeframe. A tracking system was introduced to monitor real-time delivery progress, ensuring accurate data collection. Monthly reports revealed that only 85% of orders were delivered on time, falling short of the 95% benchmark. Analysis showed delays occurred due to inefficient route planning and uncoordinated warehouse operations.

To address these issues, XYZ Logistics optimized route planning using AI-based software and trained warehouse staff to streamline operations. After implementing changes, performance improved to 92% within the first month and met the 95% target in three months. Management regularly reviewed the system to maintain performance.

By implementing all elements of the controlling process, XYZ Logistics ensured continuous improvement and customer satisfaction.

Which element of control involves matching performance with standards?

1. Measurement
2. Corrective action
3. Comparison
4. Feedback

Options 1. 1

2. 2

3. 3

4. 4

Q.47 Read the passage and answer the following questions:

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By implementing all elements of the controlling process, XYZ Logistics ensured continuous improvement and customer satisfaction.

What was the performance gap initially identified?

1. 15%
2. 10%
3. 20%
4. 5%

Options 1. 1

2. 2
3. 3
4. 4

Q.48 Read the passage and answer the following questions:

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By implementing all elements of the controlling process, XYZ Logistics ensured continuous improvement and customer satisfaction.

What caused the delivery delays?

1. High fuel costs
2. Inefficient route planning and uncoordinated warehouse operations
3. Lack of vehicles
4. Poor marketing"

Options 1. 1

2. 2
3. 3
4. 4

Q.49 Read the passage and answer the following questions:

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What corrective action was taken for warehouse operations?

1. Hiring more staff
2. Employee training
3. Increasing storage capacity
4. Outsourcing operations

Options 1. 1

2. 2
3. 3
4. 4

Q.50 Read the passage and answer the following questions:

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Identify the main cause of the deviation that occurred in the organisation.

1. Unrealistic standards
2. Environmental factors
3. Social factors
4. Structural drawbacks

Options 1. 1

2. 2
3. 3
4. 4